

Procurement & Tendering – Part 1 (Procurement)

MRICS & AIQS APC Coaching Programme

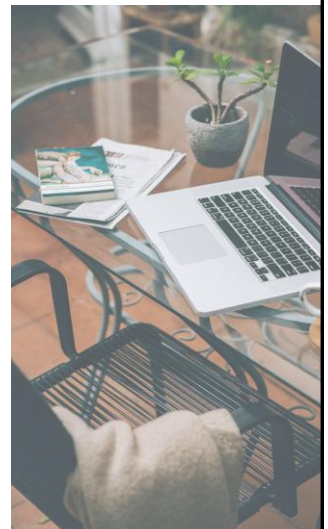
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by Roshan de Silva

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Agenda

1. About the competency (RICS vs AIQS)
2. Competency Mapping
3. Importance of procurement
4. Procurement vs tendering
5. Procurement in Construction
6. Working arrangements
7. Relationship based delivery methods
8. Relationship + Finance based delivery methods
9. Other aspects of procurement
10. Hybrid Procurement
11. Contract types
12. Form of Contracts
13. Recommended reading
14. Recap

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About the Competency (RICS)

Mandatory competencies	Core competencies	Optional competencies
Level 3 - Ethics, Rules of Conduct and professionalism Level 2 - Client care - Communication and negotiation - Health and safety Level 1 - Accounting principles and procedures - Business planning - Conflict avoidance, management and dispute resolution procedures - Data management - Diversity, inclusion and teamworking - Inclusive environments - Sustainability	Level 3 - Commercial management (of construction works) or Design economics and cost planning* - Construction technology and environmental services - Contract practice Procurement and tendering - Project finance (control and reporting) - Quantification and costing (of construction works)	Two to Level 2 - Capital allowances - Commercial management (of construction works) or Design economics and cost planning (whichever is not selected as core competency) - Conflict avoidance, management and dispute resolution procedures or Sustainability - Contract administration - Corporate recovery and insolvency - Due diligence - Insurance - Programming and planning - Project feasibility analysis - Risk management * Candidates working in a commercial or contracting environment will likely choose Commercial management to Level 3. Candidates working in a consulting environment within either the public or private sector will likely choose Design economics and cost planning to Level 3.

02

About the Competency (RICS)

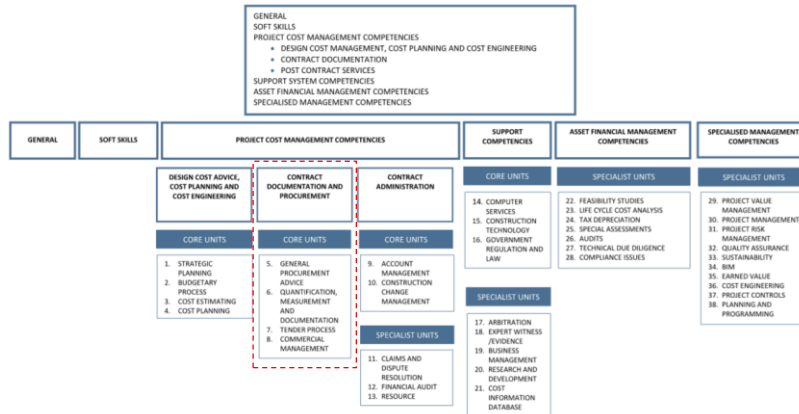
This competency covers how a project is structured and delivered in terms of risk allocation and contractual relationships, and how tendering processes are used to establish a contract price. Candidates should have a clear understanding of the different types of procurement and tendering commonly used and the advantages and disadvantages of each to the parties involved. They should have a detailed working knowledge of the procurement routes and tendering procedures used on their projects.

Level 1	Level 2	Level 3
Demonstrate knowledge and understanding of the main types of procurement. Demonstrate knowledge and understanding of the tendering and negotiation processes involved in procurement.	Apply your knowledge to the implementation of the procurement routes selected for your projects and to carrying out tendering and negotiation processes relevant to them.	Give reasoned advice on the appropriateness of various procurement routes. Manage the tendering and negotiation process and present reports on the outcome.
Examples of knowledge comprised within this level are: - The main types of procurement used in both the public and private sectors, both nationally and internationally - Tendering and negotiation processes involved in procurement - Ancillary processes such as partnering and framework agreements - Codes of practice and procedures commonly used.	Examples of knowledge comprised within this level are: - Implementing procurement routes such as traditional, design and build and management forms - Producing and/or compiling tender documentation such as letter of invitation, form of tender, health and safety documentation, design documentation and contractual details (Please note: pricing documents are covered under the Quantification and costing of construction works) - Carrying out of tendering and negotiation processes such as single and two stage tendering, the use of codes of practice and electronic tendering.	Examples of activities and knowledge comprised within this level are: - Evaluating the appropriateness of various procurement routes - Managing the tendering and negotiation process - Preparing procurement and tendering reports.

03

About the Competency (AIQS)

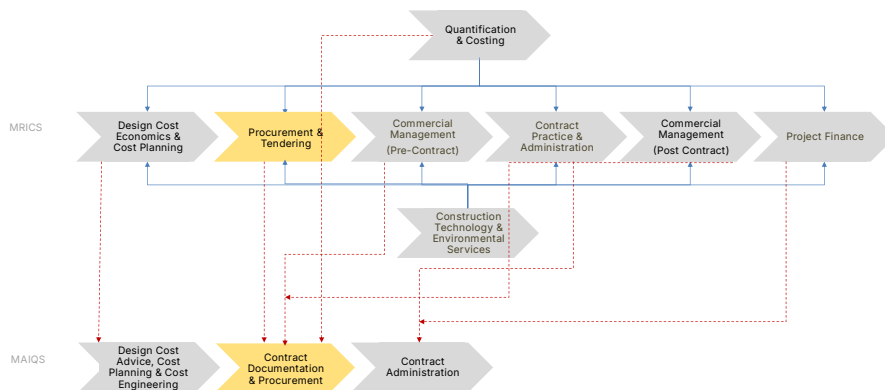
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04

Competency Mapping MRICS vs MAIQS

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05

Procurement vs Tendering

Procurement

- Procurement is the overall act of obtaining goods (materials etc) and services (Subcontract etc.) from external sources (i.e. a building contractor)
- Includes deciding the strategy on how those goods are to be acquired by reviewing the Client's requirement (i.e. Time, quality and cost) and their attitude to risk.

Tendering

- An important phase in the procurement strategy,
- but procurement involves much more than simply obtaining a price.
- Tendering is:
 - The bidding process to obtain a price; and
 - How a contractor / Subcontractor is actually appointed.

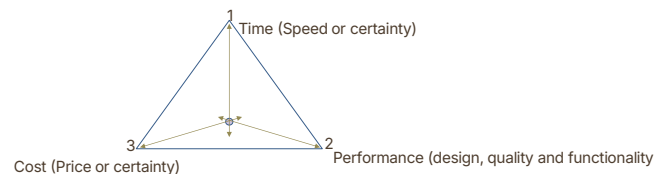
06

Why Procurement important in Construction?

Risks in Construction

- Owners risk exposure
- Cost fluctuations
- Time
- Quality concerns
- Geographically dispersed
- Regulatory Authority Changes
- Unforeseen Risks on site
- Constructability & Buildability
- Industry Relations
- Technological advancement
- Return of Investment (ROI)

Factor's affecting the selection of the procurement method (strategy)

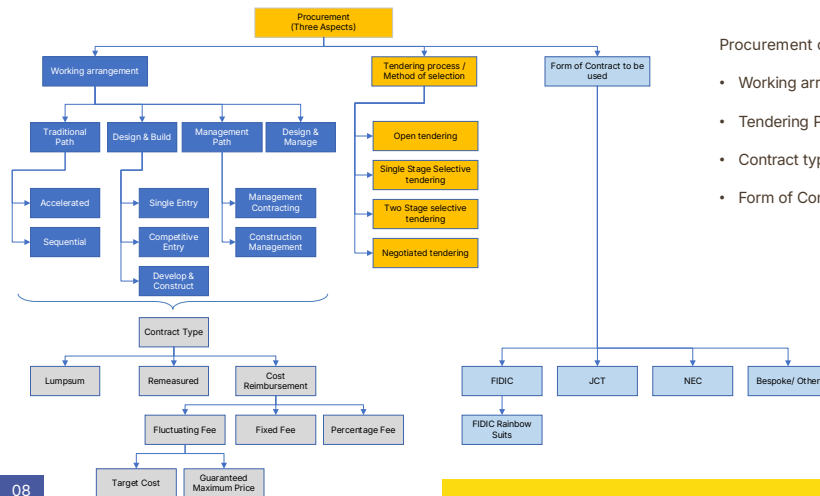


4. Client's risk-taking ability
5. Complexity of the project
6. Need for variations
7. Client involvement
8. Separation of design from Management

07

Procurement in Construction

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Procurement can be (generally categorized) into

- Working arrangement
- Tendering Process
- Contract type
- Form of Contract to be used

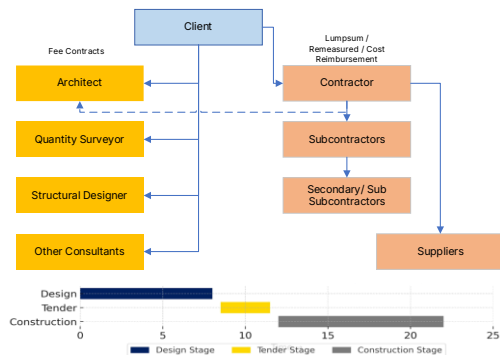
08

Working arrangements

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Traditional (Sequential) path

- The Client employs a Consultant to design the Works for bid and build by Contractor.
- Consultants Supervise the construction stage and certify the Completed Work.



Advantages

- Well understood across the region
- Quality is under Employer's control
- Power to change (Avoid prohibitive cost of change)
- Cost certainty- (Should there be No variations)
- Less contractor risk premiums
- Procedures are well known
- Contractor is responsible for Sub-contractors and supply chain

Disadvantages

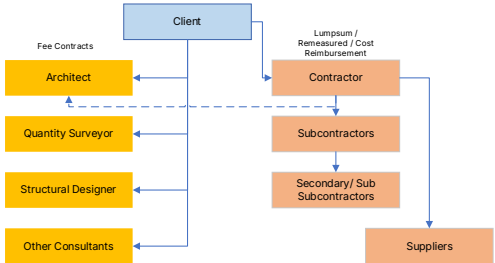
- No one person is responsible for the design and construction (Single point responsibility)
- Time and cost for tendering
- Variations are expected
- Uncertainty of tender price against budget
- Buildability (Constructability)
- Contractor not involved in design or planning

09

Working arrangements

Traditional (Accelerated) path

- Accelerated Traditional Procurement is a modified version of the traditional (Design-Bid-Build) approach,
- developed to shorten the overall project duration by overlapping design, tendering, and construction stages while maintaining separate contracts for design and construction.
- It is often adopted for projects where the client requires an early start or completion without shifting design responsibility to the contractor.



How It Works in Practice (Comparison on Traditional v Accelerated)

Stage	Traditional	Accelerated Traditional
Design	Full design completed before tendering	Design partially completed; tender issued with ~60-80% design information
Tendering	Main contractor bids on full design	Main contractor engaged earlier (sometimes on a negotiated, two-stage tendering or package wise)
Commencement of Construction	Begins after tender award and full design	Begins early (e.g., with enabling works, piling, or foundations) while design continues
Contract structure	Employer-Designer-Contractor remain separate	Same — no design responsibility transferred, but coordination is tighter and decisions are made quickly

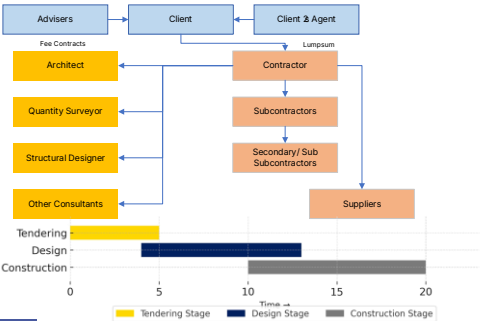


10

Working arrangements

Design & Build (Performance based) path

- Client procures the completed product from a Contractor with complete design and Construction.
- D&B is a fast-track strategy.
- By transferring risk to Contractor client loses some control over the Project. (FIDIC Yellow or Silver)



Advantages

- Firm price agreed prior to construction.
- Single point contract responsibility
- Less time consuming
- Buildability (Constructability), Fit for purpose
- Cost Certainty (If no interfere with design)

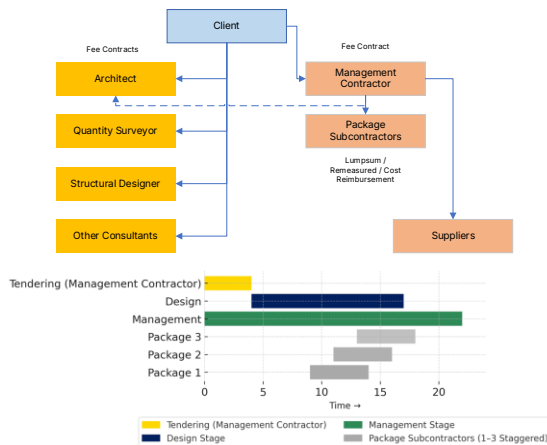
Disadvantages

- Not widely understood in the region.
- Contractors not ready with Design Team.
- Cost of the project? Risk Premiums.
- Quality may be compromised
- Variations might be costly.
- Bids difficult to compare
- Design control by Contractor.
- No design overview unless Consultants are appointed by Client.
- Contractor to obtain building permit.

11

Working arrangements

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Management Contracting

- Client appoints the Management Contractor, and the MC advises the Client on programming and buildability.
- Work is divided into services or packages on a lump sum, remeasured or cost reimbursement basis.
- Packages can start as soon as the Client approves their Design. MC on fixed fee or percentage fee Contract, while the packages can be traditional or D&B.

Advantages

- Early start – early completion
- Contribution by an experienced contractor to manage
- Late changes are easily accommodated
- Parallel working is inherent
- Work packages tendered competitively

Disadvantages

- Uncertainty of price till the last package's FA is agreed.
- No single point of responsibility for design and construction
- Management costs might be high
- Needs a good quality brief
- Client is dependent on the MC and exposed to the risk of failure by MC

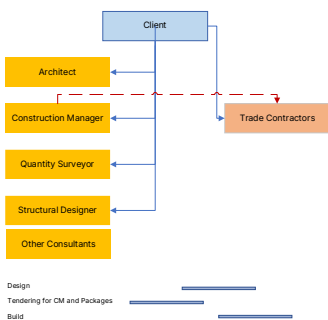
12

Working arrangements

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Construction Management

- Client appoint Construction Manager at early Stage on fee basis and CM advises the Client.
- The Client contracts directly with various Trade Contractors. (Joint Contracts Tribunal (JCT-UK) or Bespoke)



Advantages

- Construction Manager is a qualified advisor to the employer
- Direct contractual relationships
- Can be started early
- Cost could be controlled directly
- Late changes are easily accommodated

Disadvantages

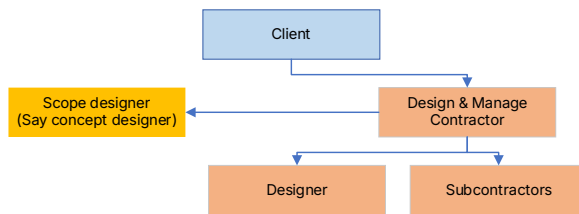
- More contractual responsibilities
- No Cost certainty
- Complex coordination & communication.
- Need a competent Project Team.
- Client is dependent on the CM and exposed to the risk of failure by CM

13

Working arrangements

Design and Manage

- This is a combination of the design & build and Management Path.
- The Client appoints a Single firm to design the project and manage the Construction works but specialist contractors are appointed to carry out work. (FIDIC Gold Book-Design build & operate)



Advantages

- Single Point Responsibility since both design and managing the construction is done by one party.
- Time saving
- Buildability can be built into the design since experienced contractor is involved in the design

Disadvantages

- Not widely understood in the region
- Quality is compromised since major design is done by the D&M Contractor.
- No direct contractual control.
- Management fee might be high

14

Relationship based delivery Methods

Partnering Agreements

- A collaborative approach where contractors, clients, and suppliers work as a team.
- Focuses on trust, shared goals, and problem-solving instead of blame.
- Common in large, long-term, or high-risk projects.
- Promotes teamwork, efficiency, and cost savings over fighting over contracts.
- Types of Partnering
 - Project Partnering - for one specific project.
 - Strategic Partnering - long-term relationship across multiple projects (e.g., framework agreements).
- Suitable for large, high-risk, long-term projects (e.g., infrastructure, hospitals).

Advantages

- Promotes collaboration instead of adversarial relationships.
- Problems are solved without legal battles.
- Open-book pricing ensures transparency.
- Shared risk leads to fewer unexpected costs.
- Continuous improvement culture and teams focus on best solutions, not blame.
- Fewer delays due to better communication & trust.
- Early involvement of contractors improves planning.
- Builds trust between clients, contractors, and suppliers.
- Future projects benefit from proven teamwork.

Disadvantages

- Not suitable for all projects (only for large, complex or long term)
- Lack of competition can lead to reduced efficiency.
- Legal and administrative setup can be time-consuming.
- Requires strong leadership from the client.
- Big Contractor's dominate, reducing innovation from smaller players.

15

Relationship & Finance based delivery Methods

	PPP (Public-Private Partnership)	PFI (Private Finance Initiative)
Definition	Broad term for private sector collaboration in public projects	A specific type of PPP with full private financing
Origins	Used globally	UK-originated model
Funding Structure	Can be fully private or joint public-private funding	Strictly 100% private financing
Ownership	May transfer to government after contract	Typically remains private until contract end
Payment Mechanism	User fees, govt payments, or hybrid	Government pays unitary charges (long-term service payments)
Risk Allocation	Balanced risk-sharing between parties	Private sector bears most risks
Typical Duration	Short-term to long-term (5-30 years)	Very long-term (typically 25-30 years)
Common Applications	Highways, airports, power plants, urban development	Hospitals, schools, prisons
Transparency	Generally more transparent	Criticized for lack of transparency
Cost to Government	More cost-effective long-term	Became expensive for taxpayers

16

Relationship & Finance based delivery Methods

PPP (Public-Private Partnership) Models

- **BOOT** - Build-Own-Operate-Transfer (Private entity builds, owns & operates (e.g., 20-30 years), then transfers to government)
- **BOT** - Build-Operate-Transfer (Private entity builds & operates (no ownership), then transfers)
- **BOOM** - Build-Own-Operate-Maintain (Private entity permanently owns & maintains (no transfer))



Southern Express Way - BOOT



Istanbul Airport - BOT



DP World, Jebel Ali Port- BOT

17

Relationship & Finance based delivery Methods

Swiss Challenge Method

- The Swiss Challenge is a transparent bidding process where:
- A private entity submits an unsolicited proposal to the government for a project (e.g., infrastructure development, utilities, or other public services).
- The government reviews the proposal and, if deemed viable, invites competing proposals from other private entities through a public tender process.
- The original proponent is given the opportunity to match or improve upon the best competing offer to win the contract.

18

Other aspects of Procurement

Term Contract	Predictable, ongoing services. A long-term agreement for recurring goods/services at pre-agreed terms/pricing.	- Routine maintenance - Ongoing supplies (e.g., office stationery)
Call-off Contract	Urgent/fluctuating demand. A master agreement allowing "call-offs" for goods/services as needed (no fixed quantity).	- Variable demand items (e.g., IT equipment) - Emergency repairs/construction/maintenance
Serial Contract	Repeatable projects. Multiple identical contracts for phased/delivered work (e.g., batch construction).	- Repeat projects (e.g., housing units)
Continuation Contract	Extends an existing contract beyond its original term (often via clauses).	- Ditto-
Framework Agreement	For uncertain but recurring needs. A master agreement with pre-approved terms for future contracts (no guaranteed work).	

19

Hybrid Procurement

What?

- Hybrid procurement combines two or more procurement strategies to optimize project delivery, balancing cost, speed, risk, and quality.
- Used when conventional methods (Traditional/DB/management) alone can't meet complex project needs.

Common Hybrid Models

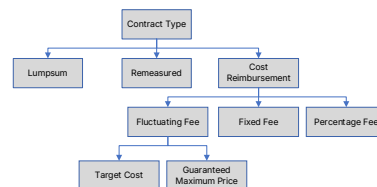
- Design-Build + Public-Private Partnership (PPP) - Faster delivery + long-term maintenance efficiency.
- Construction Management + Target Cost Contract - Early contractor involvement + cost certainty.
- Framework Agreement + Call-off Contracts - Speeds up procurement for recurring work.
- Traditional + Design Build - Use the expertise of the Contractor buildability issues.

20

Contract types

Contract types allocate risk in different ways, influencing the final cost and accountability for project outcomes. In other words, it is a method of valuing the works carried out.

- Re-Measurement (Measure & Pay)
- Lump Sum or Fixed Lump Sum.
- Cost Reimbursement (Ideal for renovation contracts)
 - Percentage Fee (Fee is a % of the total actual cost)
 - Fixed Fee (Fee is a lump sum of total actual cost)
 - Fluctuated Fee
 - Target cost plus (The target cost is set early in the project, and then cost savings or overruns are shared based on an agreed formula)
 - GMP (Guaranteed Maximum Price).



21

Contract types

Target Cost Plus

- It is a method of gain-share/pain-share.
- Both parties agree on a target price.
- If the cost exceeds the target price, both parties will share the additional cost. Parties agree on the contractor's proportion. (Say 50/50)
- On the other hand, the profit margin of the contractor is increased if the cost remains below the target price.
- This method is not very common. Why?
 - Difficult to negotiate.
 - No openness in the cost details.
 - Complete reliance on the contractor.

Guaranteed Maximum Price ("GMP") method

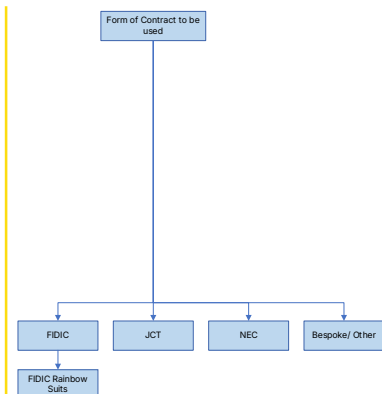
- The construction contract includes the maximum price upon which the contractor can work.
- The contractor's profit will be a fixed figure or percentage.
- Contractor to bear all costs beyond a pre-set max price.
- The contractor is responsible for the cost overruns.
- What happens in cases of variations?
 - Parties may agree on a different maximum price.
 - Who will benefit from the savings resulting from under-expenditure?
 - Either the employer or both the employer and contractor.
 - It depends on the contract terms. The saving may be returned to the employer or shared by both the employer and contractor.

22

Form of Contracts

FIDIC

- FIDIC 1987
- FIDIC 1999
- FIDIC 2017
 - Red Book - Conditions of Contract for Construction for Building and Engineering Works designed by the Employer (2nd Edition 2017).
 - Yellow Book - Conditions of Contract for Plant and Design-Build for electrical and mechanical plant, and for building and engineering works, designed by the Contractor (2nd Edition 2017).
 - Silver Book - Conditions of Contract for EPC / Turnkey Projects designed by the Contractor (2nd Edition 2017)
 - Green Book - Short form of Contract (1st Edition 1999).
 - Blue Book - Dredging and Reclamation Work (1st Edition 2006)
 - Pink Book - Aversion of Red Book approved for use by Multilateral Development Banks. The Islamic Development Bank and the World Bank worked with FIDIC in developing this contract forms.
 - White Book - Client/Consultant Model Services Agreement (5th Edition 2017)
 - Gold Book - Design, Build and Operate Projects (Last Edition 2011)
 - Emerald Book- Underground Works (Last Edition 2019)
 - Orange Book - Design, Build and Turnkey, Merged with Yellow Book



23

Recommended reading

RICS Guidance Notes on

- Developing a construction procurement strategy and selecting an appropriate route, 1st edition
- Tendering strategies, 1st edition
- E-tendering, 2nd edition

In addition, refer to the study materials available in the APC Portal (access via <https://apccoaching.me/>)

24

Recap

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25

End of Part 1 (Procurement)



Thank YOU

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26

Technical (Core)

Procurement & Tendering – Part 2 (Tendering)

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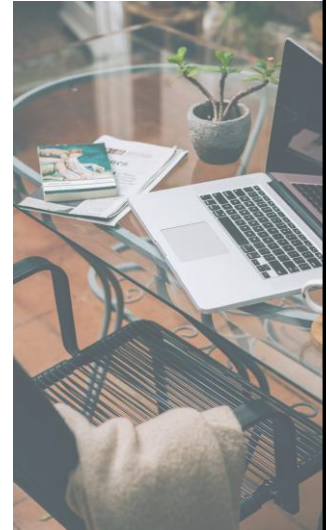
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Agenda

1. Tendering in Construction
2. The need of a robust tendering strategy
3. Tendering strategies
4. Key principles of tendering
5. Prequalification of bidders
6. Invitation to tenderers
7. Tender documents
8. Site visits
9. Tender notices, queries and addendums
10. Submission and opening of tenders
11. Tender evaluation (technical + commercial)
12. Recommendation
13. In country value (ICV)
14. Contract award
15. Recap

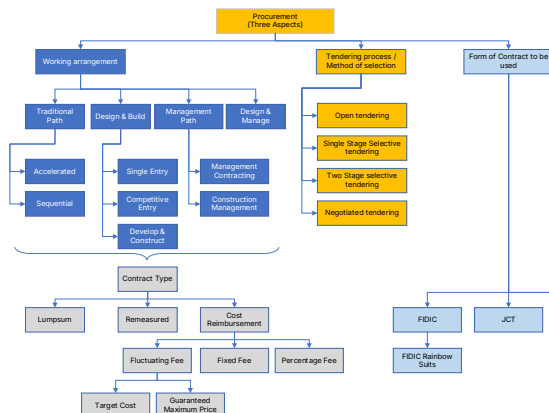
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01

Tendering in Construction

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What?

- The bidding process to obtain a price; and how a contractor is actually appointed.

Why?

- Selection of right Contractor – technically & financially competent.
- Promote competition – obtain fair tender price and value for money.
- Commitment – rights and obligations of the parties to the Contract.
- Transparency – providing resolution to all bidders to be accountable at all times.
- Avoid disputes – tender queries, post tender clarifications and negotiations
- Deliverables – Ensure the compliance to the Time, cost and quality parameters.

02

The need of a Robust tendering strategy

- A well-structured tendering strategy is crucial in construction to ensure cost efficiency, risk management, and project success.
 - Ensures competitive pricing through multiple bids that offers value of money
 - Proper bidder prequalification reduces contractor failure risk
 - Clear contracts minimize disputes and claims
 - Ensures transparency by complying with procurement regulations and eliminating favoritism.
 - Technical evaluation ensures the competence and detail specs / documents reduces disputes.
 - Realistic time lines prevents delays
 - Fair processes foster long-term contractor trust.
 - Enables ESG (Environmental, Social, Governance) criteria in bids

Refer – RICS Guidance Note and [UK Construction Playbook](#)

Tendering choices (strategies)

- Open tendering - *RICS Guidelines is silent about Open tendering. However, are commonly used in the industry.*
- Single-stage Selective Tendering.
- Two-Stage Tendering
- Negotiated Tendering

Note –

E – tendering – *is not a tendering choice, but a tendering platform.*

03

Tendering Choices (strategies) in Construction

Open Tendering

- Is an invitation to tender by public advertisement.
- There are no restrictions placed on who can submit a tender
- The proposed tender opportunity is usually advertised in journals or on websites
- Typically awarded to the most cost-effective compliant bidder.
- Best for Simple, well-defined works where price is the main factor (example : government projects)

Note : RICS Guideline is silent on Open Tendering as there is no specific information regarding this tendering strategy.

Advantages

- Maximum Competition provides competitive tender prices (value for money)
- New tenderers to participate
- Can be used for simple projects that are not complex

Disadvantages

- More time for evaluation
- Administrative burdens as more bids to evaluate
- Incompetent bidders.
- Overall cost to abortive tendering to construction industry.
- Can focus on price not quality

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Tendering Choices (strategies) in Construction

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Open Tendering

Invitation for Bids

STATE MINISTRY OF INTERNAL SECURITY, HOME AFFAIRS AND DISASTER MANAGEMENT

NATIONAL BUILDING RESEARCH ORGANIZATION

PROPOSED DISTRICT OFFICE BUILDING FOR NBRO - RATNAPURA

The Chairman, Department Procurement Committee, National Building Research Organization (NBRO), invites sealed bids from eligible and qualified bidders for following work.

Bid No.	Description	Bid Closing Date
NBRO/HRPTD/DO-RATNAPURA/001	Calling of bids for Construction of National Building Research Organization District Office Building at Ratnapura	30th June 2020
Bid Value (Engineering Estimate)	CEA Requested Category: C-6 and above in the net Building Construction	Bid Bond Value: SLR 520,000

Bidding documents will be issued between 9:00 hrs. and 15:00 hrs. on working days from 16th Nov. 2020 from Human Settlements Planning and Training Division of NBRO. A complete set of bidding documents in English language may be purchased on submission of a written request to the Chairman of the Procurement Committee of NBRO upon cash payment of a non-refundable fee of Rs. 5000.00 for each document to the cashier of the NBRO. The bidding documents are available for inspection on prior appointment at reception desk. The bid closing time is 14.00 hrs. on 30th Nov. 2020. Please visit www.nbro.gov.lk for more details.

Chairman, Procurement Committee,
National Building Research Organization,
99/1, Janakata Road,
Colombo 05.
TF: 0112 588 946

Key information consider

1. Client
2. Who can participate
3. Scope of tender
4. Budget (if applicable)
5. Bid closing date
6. Bid (tender) bond value
7. Location/duration /timing to collect tender docs
8. Document fee
9. How to pursue more information.

05

Tendering Choices (strategies) in Construction

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Single Stage Selective Tendering

- Only pre-qualified contractors are invited to submit bids
- Prequalification - Client shortlists contractors based on technical (experience, past performance, resources etc.) and financial (3 year audited financial reports) competence.
- Prequalification can be as project specific or organization wide periodically (annually)
- Invitation to tender will be issued only for those contractors are prequalified.
- Suitable for Clients prioritizing speed + risk reduction over lowest price.

Advantages

- Controlled competition as the involvement are only technically and financially capable contractors.
- Less overall cost of abortive tendering to construction Industry.
- Faster evaluation time as compared with open approach.
- Quality of the bids are generally high.
- Intended quality can be achieved due to involvement of qualified bidders.

Disadvantages

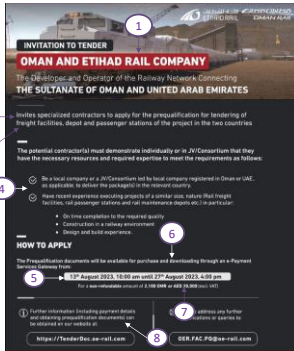
- Limited Competition makes the bids less competitive.
- Reduced competition might result in higher bids (smaller or newer firms may struggle to get pre-qualified)
- Restricted new comers to the industry.
- Risk of Collusion – Such as tender rigging

Tender (bid) rigging - An illegal practice where contractors, suppliers, or clients manipulate the tendering process to falsely control competition, ensuring a pre-selected bidder wins unfairly.

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Tendering Choices (strategies) in Construction

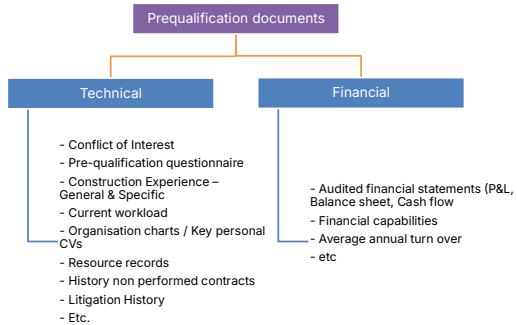
Single Stage Selective Tendering



Key information consider

1. Client
2. Who can participate
3. Scope of tender
4. Eligibility
5. Bid closing date
6. How to collect the docs
7. Document fee
8. How to pursue more information.

Pre-qualification documentation – Information to be submitted by the Contractor



Note –

- Information to be submitted may vary depending upon client's requirements.
- Refer Pre-qualification instructions

07

Tendering Choices (strategies) in Construction

Two Stage Selective Tendering

- A procurement method where an employer appoints a contractor (with design capability) early in the project based on preliminary scope.
- This enables Early Contractor Involvement (ECI) for pre-construction services, with the goal of later negotiating a lump-sum (Fixed Price) contract for the full works.
- The contractor is selected early (via a Prequalification) under a provisional Pre-Construction Services Agreement (PCSA - Consultancy).

Stage 1 - Process

- The employer tenders the project based on an incomplete design, along with TOR (terms of reference) document an outline price (not always the case) and programme.
- Tenders submit
 - Proposed construction programme & method statement
 - Preliminaries cost + % for overheads & profit
 - Ad-hoc schedule of rates
 - Design suggestions (buildability improvements, value engineering)
- Optionally, competitive pricing for defined work packages + pre-construction services (lump sum/cost-reimbursable).
- The preferred contractor is appointed under either:
 - An identified contract (e.g., PCSA – Pre-Construction Services Agreement)
 - A consultancy-style agreement (no obligation for Stage 2)
- After design finalization, the client negotiates with the Contractor a lump-sum, remeasure or target-cost contract to execute stage 2 (Construction)
- If terms are not agreed, the PCSA terminates, and the client may seek alternative Contractor to execute stage 2

08

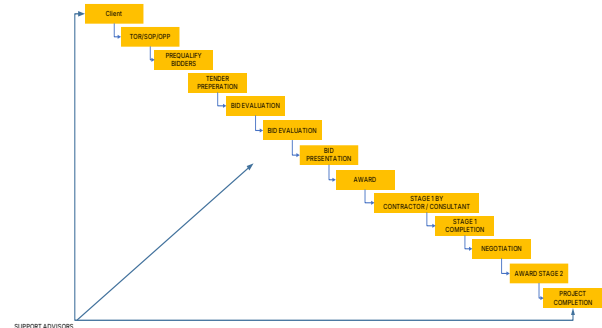
Tendering Choices (strategies) in Construction

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Two Stage Selective Tendering

Stage 2

- During Stage 2, the preferred contractor negotiates final terms while delivering pre-construction services under the PCSA.
- Contractor provides a fixed-price bid (lump sum) based on:
 - Finalized design and Bill of Quantities (or elemental wise).
- If the price is agreed by the Client parties enter into a contract, failing which Client can renegotiate or retender the works for Construction.
- Subsequently, the Contractor mobilizes and starts work under the agreed terms.



09

Tendering Choices (strategies) in Construction

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Two Stage Selective Tendering

STAGE 1- DESIGN WORKS FOR MULTI STOREY BUILDING				
Item	Description	Unit	Qty	Total with VAT amount (AED)
1	Preliminary & General Services including but not limited to all, mob & De-mobilization, Surveys, Insurance(P/I), P&G, Site facilities, Documentation etc.	Item	LS	
2	Project launch, data collection and inception report	Item	LS	
3	Submission of Concept Design Report, completion of Workshops	Item	LS	
4	Submission of Design Report, completion of Workshops	Item	LS	
5	Submission of Technical Design Report, draft models and completion of Workshop/Presentation	Item	LS	
6	Preparation of Methodology, Cost Estimate and Program	Item	LS	
	Total Contract Value			
STAGE 2- CONSTRUCTION OF MULTI STOREY BUILDING				
Item	Description	Unit	Qty	Total with VAT amount (AED)
1	Preliminary & General Services including but not limited to all mobilization, Transportation, Logistics, Surveys, Insurance, P&G, demobilization, site facilities, Project Management, Documentation etc.	Item	LS	
2	Substructure	Item	LS	
3	Superstructure	Item	LS	
4	Internal Finishes	Item	LS	
5	Fittings Furnishings and Equipment	Item	LS	
6	Services	Item	LS	
7	Prefabricated Buildings and Building Units	Item	LS	
8	Work to Existing Building	Item	LS	
9	External Works	Item	LS	
10	Project/Design Team Fees	Item	LS	
11	Warranty period services	Item	LS	
12	Other Development/Project Costs	Item	LS	
13	Main Contractor's Overheads and Profit	Item	LS	
	Total Contract Value			

Advantages

- Early contractor input improves design & reduces errors
- Quick commencement with early site works during design finalization
- Reduced risks via contractor's buildability expertise
- Collaborative approach between client & contractor

Disadvantages

- Limited competition in final pricing stage (if Stage 1 contractor takes up)
- Time-consuming pre-construction phase
- Risk of price disputes if Stage 2 exceeds budget
- Not cost-effective for simple projects
- Client dependency on single contractor (if both stages are executed by the same contractor)

Suitable for Complex projects, Fast-track schedules and incomplete designs`

10

Tendering Choices (strategies) in Construction

Negotiated Tendering

- A procurement method where the client selects a preferred contractor (based on pre-qualification or existing relationship) and directly negotiates terms, pricing, and scope without competitive bidding.
- Negotiated tendering is suitable when
 - Limited Competent Suppliers or Contractors
 - Confidential Projects (Such as palaces, military construction etc.)
 - Emergency or continuity of works

Advantages

- lengthy competitive bidding are avoided which accelerates project commencement.
- Strong collaboration due to existing trust with proven contractors.
- Contractor's track record reduces performance risks.

Disadvantages

- Lack of competition may lead to inflated prices.
- Poor negotiations may result in risks for the Client.
- No competitive bids to compare alternative solutions.

Tendering Choices (strategies) in Construction

E-Tendering (Electronic Procurement)

- E-Tendering (Electronic Tendering) is a digital procurement process.
- Tenders are advertised, bid submissions are made, and evaluations are conducted online via specialized platforms.
- It replaces traditional paper-based tendering.
- Examples : SAP AribaMercell | Tendered | BidOcean
- Note – E – tendering – is not a tendering choice, but a tendering platform.

Advantages

- Administrative Costs are less
- Cuts tender cycle time by 30–50%.
- Minimizes human interference/bias (supports anti-corruption).
- Attracts international bidders easily.
- Eliminates paper waste.
- Encrypted submissions prevent bid tampering.

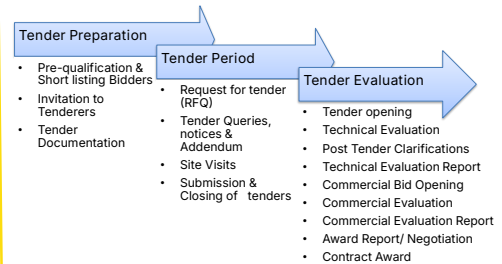
Disadvantages

- Small contractors may lack tech access/skills.
- Platform failures can disrupt submissions.
- Hacking/data leaks (requires robust IT safeguards).
- Initial investment is high

Key Principles of Tendering

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- Tender process should ensure receipt of compliant & competitive tenders.
- Tender list must be compiled from qualified contractors.
- Tender list should be short as possible
- Conditions should be same for all tenderers.
- Confidentiality should be respected by all parties.
- Sufficient time should be given for preparation & evaluation of tenders.
- Tenders should be assessed and accepted on quality as well as price.
- Sufficient information should be provided to enable the preparation of tenders.
- Should be assessed and accepted on quality as well as price based on pre-tender estimate.
- Practices should not change on an unaltered scope of works.
- There should be a commitment to team-work from all parties.
- Explain the tender evaluation criteria to be used and their relative importance.
- Let tenderers know that feedback can be provided.
- Avoid bid shopping.
- Avoid bid rigging.
- Clean un-amended "Form of Contract " to be used.



13

Prequalification of Bidders

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- A screening process where clients assess contractors' or suppliers' capabilities, experience, and financial stability before allowing them to bid on a project.
- It ensures only qualified firms participate in tendering.
- Key objectives are
 - Filters out unqualified bidders.
 - Reduces evaluation effort by shortlisting competent firms.
 - Ensures bidders meet technical/legal requirements.
 - Levels the competition for capable contractors.
- Can be performed project wise, annually or as and when it is demanded.

Prequalification requirement may vary from Client to Client

Category	Evaluation Factors
Technical	- Relevant project experience (similar size/scope)
	- Key personnel qualifications
	- Resources, Equipment/facilities availability
	- Current workload
	- Competence & resources to meet HSE requirements.
Financial	- Approach to quality assurance system.
	- Audited financial statements (liquidity, turnover)
	- Creditworthiness/banking references
Legal/Compliance	- Valid licenses & registrations
	- Past litigation/safety record
	- Compliance with labor/environmental laws

14

Invitation to Tender

- A formal document issued by a client (or their consultant) to request bids from prequalified (if selective) contractors or suppliers for a construction project.
- It marks the start of the competitive bidding process.
- Formalizes the bidding process under fair and transparent rules.
- Ensures all bidders receive the same information.
- Legally binds participants to their submitted offers.
- Types of ITT
 - Open tender – Publicly advertised
 - Selective tender - Only prequalified contractors are invited.
 - Negotiated tender -

Following information requires to be covered at a minimum.

- Introduction, Brief Scope of Work and project background.
- Project duration
- Details of any tender document purchase price
- Details of when & where the document obtained.
- Details of Tender Security and Performance Bank Guarantee.
- Details of when & where tenders will close/ Bidding Period.
- The name, address, telephone number, fax and email address of the Contact person.
- Details of Client/ Consultants/ Engineer.
- Tender submission type-single or two envelop (Technical and commercial) method.
- Tender acknowledgement.

15

Tender Document

- There is no defined rule on how a tender document should be compiled.
- However, as per the industry practice a tender document would contain the following.
 - Invitation to Tender
 - Components of Tender Document
 - Volume 1 - Tendering & Contract Conditions
 - Instructions to Tenderers – Annexures
 - Tender acknowledgement (Confirmation that all documents are received)
 - Tender Conformation form (willing to participate or not)
 - Form of Tender & Appendix to Form of Tender
 - Form of Agreement
 - Contract Conditions –Part I (General) & Part II (Particular)
 - Specimen forms – Tender Bond, Insurance etc.
 - Volume 2 - Specifications
 - Scope of Work
 - Specifications (Building – General Civil, Architectural, Mechanical & Electrical & Particular)
 - Specification (Infra –General DM & Particular, Sewer)
 - Volume 3 - Drawings (Architectural, Structural, Mechanical, Electrical & External)
 - Volume 4 - BOQ (Pricing Preambles, Bill Section, Day Works, PS & PC and Summary)
 - Volume 5 – Any other information that would support the bidder in pricing the tender (Soil report etc.)

16

Site Visits

- Site visits are a critical step in the tendering process, allowing contractors to assess project conditions firsthand before submitting bids.
- Why?
 - Assess ground conditions, access, and logistics to avoid cost surprises.
 - Identify hidden hazards (utilities, poor soil, weather risks).
 - Verify site vs. drawings to prevent misinterpretations.
 - Submit realistic bids with fewer contingencies.
 - Often mandatory in tender terms; skipping may disqualify bids.
 - Buildability Check (I.e. Plan crane placements, material storage, and workflows efficiently.)
- Best Practice - Document site details (photos, notes) and ask questions during visits

Contractor's site visit check list

- ✓ Location, nearest cities.
- ✓ Surrounding structures
- ✓ Requirement of demolitions.
- ✓ Soil condition, obstructions etc.
- ✓ Site access
- ✓ Any dumping areas / borrow pits
- ✓ More essentially, the contractor's participated the site visit.

17

Tender Queries, Notices and Addendums

- Tender Queries
 - Bidders submit questions (via email/portal) during the query period.
 - All information provided between the parties treated as confidential.
 - Timely answer all queries.
 - Client/consultant responds in writing to all bidders (ensures fairness).
 - As a best practice
 - Set a deadline for queries (e.g., 7 days before tender close).
 - Use a the Queries & Clarification log (shared with all bidders).
- Addendums
 - Used for Formal updates to tender documents (e.g., design changes, extended deadlines).
 - Issued as numbered revisions (e.g., Addendum 1, 2).
 - Bidders must acknowledge receipt (mandatory).
 - As a best practice
 - Highlight changes (e.g., redline markups).
 - Allow time for bid adjustments post-addendum
 - Each addendum contain returnable covering sheet to acknowledge its receipt in writing.
 - To be a part of the tender submission
- Bulletins
 - Used for Clarifications or minor updates (less formal than addendums).
 - Shared via email/tender portal and may include information such as FAQ and site visit information.
 - Best practice
 - Each addendum contain returnable covering sheet to acknowledge its receipt in writing.
 - To be a part of the tender submission

18

Submission of Tenders, opening and check list

- Submission of tenders
 - Tender box (not applicable if E-tendering is used.)
 - Sealed envelopes (not applicable if E-tendering is used.)
 - Submission are to be made on site.
 - Formal acceptance
 - Regret letters
 - Safe custody
 - Ensure the security and confidentiality of all tenders.
 - If two envelop system is used, ensure envelops are clearly marked as "Technical bid" and "Commercial Bid"
- Opening and recording of tenders
 - Tender Committees, Tender Policy, Quorum, Votes (Not less than Two people)
 - Communication restricted
 - Tender Opening Form
 - Signing off
 - One copy of each of the tenders (Original) is separately stored in secure location
 - Decision to proceed of tender evaluation
- Tender check list
 - Covering letter with reference number and date.
 - Form of Tender signed and stamped by Authorized person.
 - Bidder's Power of Attorney.
 - Valid Trade License/Commercial Registration.
 - Tender Bond Value and Validity.
 - Signed and stamped all tender document.
 - Signed and stamped and acknowledge tender addendums.
 - Alternative offers, qualifications & deviations if any.

19

Tender Evaluation (Technical)

- As a best practice, the technical evaluation will be carried out first prior to the Commercial evaluation.
- Why? –
 - to ensure that only competent and compliant bidders advance to the commercial evaluation and,
 - Commercial evaluation does not affect the technical evaluation decisions.
- Tender analysis/ evaluation team to be appointed on or before Tender Closing date.
- Cut-off Points to pass Technical Evaluation is generally 75 points
- Below the Cut off mark bidder's not considered for the Commercial opening.

Item	Weightage	Bidder 1	Bidder 2	Bidder 3	Bidder 4	Bidder 5
1 Technology Expertise/ Previous Experience						
1.1 Particular experience on similar projects	10					
1.2 Regional experience & Local experience	5					
1.3 Current work load (Value, Project, Location), can be contacted	5					
1.4 Previous experience / performance with ADWEA/ TRANSCO	10					
Sub Total - 1	30					
2 Organization and resources						
2.1 Management and Technical Staff	10					
Sub Total - 2	10					
3 Quality Control and Documentation System Capability						
3.1 TQM/QA/QC and ISO9000 and other certifications	5					
Sub Total - 3	5					
4 Contractor Proposal						
4.1 Understanding the scope and requirements	10					
4.2 Methodologies and procedures	10					
4.3 Overall presentation of documents etc.	5					
4.4 Material and submittal as per requirements	30					
Sub Total - 4	55					
5 GRAND TOTAL	100					
Rating	100					

20

Tender Evaluation (Technical)

Tender Analysis – Technical

- Contractor's Experience & Past Performance
- Project Methodology & Work Plan
- Key Personnel and other resources (Labour).
- Equipment & Resources
- Quality Assurance & Compliance
- Health, Safety & Environment (HSE)
- Innovation & Value Engineering – (If required by the Tender)
- Financial Stability (Audited financial statements)
- Site-Specific Adaptability
- Legal & Contractual Compliance

Factor	Weight (%)	Assessment Method
Experience	20%	Past project portfolios
Methodology	25%	Work plan clarity, risk mitigation
Team Competency	15%	CVs, interviews
HSE Compliance	10%	Safety audits, certifications
Quality Assurance	10%	QC plans, ISO certifications
Financial Stability	10%	Bank statements, credit reports
Innovation	10%	Value engineering proposals

21

Tender Evaluation (Commercial)

Tender Analysis – Commercial

- Commercial evaluation assesses the financial competitiveness by of bids in a construction tender.
- It ensures the selected contractor offers the best value for money while meeting project requirements.

Commercial bid opening

- Announce the Commercial bid opening Date & venue (only for the Technically acceptable bidders).
- Tender Committees, Tender Policy, Quorum, Votes (Not less than Two people).
- Declare the prices at the opening

Evaluation

- Check tender securities/ bonds.
- Open price comparison.
- Amount in words shall govern in a miss matching.
- Corrections for arithmetical errors.
- Un priced items.
- Corrected price comparison, equalization/normalization process.
- Rate Analysis.
- Clear all tender qualifications.
- Alternative offers.
- Provisional sums, Prime cost sums, Day work rates.
- Cost of components, spare parts, consumables & servicing.
- Compliance to payment terms.
- Foreign currency adjustments.
- Life Cycle Cost Comparisons.

22

Tender Evaluation (Commercial) – award recommendation

Contents of a Commercial Evaluation report.

1. EXECUTIVE SUMMARY
2. PROJECT INFORMATION
 - PROJECT TITLE & INTENSIONS OF PROJECT
 - BACKGROUND
 - BRIEF SCOPE OF WORKS
 - PROJECT DURATION & WARANTEE PERIOD
 - ESTIMATED BUDGETARY COST
3. TENDERING PROCESS
 - INVITED BIDDERS
 - OFFERS RECEIVED
 - MAJOR TENDERING EVENTS
4. TENDER EVALUATION
 - TECHNICAL EVALUATION
 - COMMERCIAL EVALUATION
 - » SUMMARY OF PRICE OFFERS
 - » FINAL OFFER: BIDDER- XXXX
 - » FINAL OFFER: BIDDER- XXXX
 - » PERCENTAGE VARIANCE FROM ESTIMATE (FOR TOTAL PRICE)
 - » PERCENTAGE VARIANCE FROM ESTIMATE (FOR LOT-WISE PRICE)
5. RECOMMENDATION
6. ATTACHMENTS
 - CONSOLIDATED BOQ IN CONVENTIONAL BOQ FORMAT
 - LETTER OF REVISED PRICE BY BIDDERS IF ANY

23

In Country Value (ICV)

In Country Value (ICV)

- Refers to the economic benefit a construction project brings to the host country by prioritizing local resources, labor, and businesses.
- Governments and clients often mandate ICV policies to boost local employment, industry growth, and economic diversification.
- Key Components of ICV in Construction Tenders
 - Local Workforce Employment (% of the total labour)
 - Use of Local Materials & Suppliers
 - Subcontracting to Local Firms
 - Technology & Knowledge Transfer
 - Corporate Social Responsibility (CSR) Initiatives

Country	ICV Policy	Example Requirement
Saudi Arabia	Vision 2030 – Saudization	30% local workforce in construction projects.
Oman	Omanization (Tawteen)	10–15% subcontracting to Omani SMEs.
UAE	Emiratization (ICV Certificates)	4% Emirati hiring in skilled roles.
Qatar	Qatar National Vision 2030	20% local material sourcing in tenders.

24

Contract Award

Contract Award

1. Refers as the formal process where the client selects the successful bidder and enters into a legally binding agreement to execute the construction project.
 2. It marks the conclusion of the tendering phase and the start of the contract execution.
- Decision to take by Higher Management or Tender Committee.
 - Send Letter of Award / Letter of Acceptance to the successful bidder
 - Send regret letters to unsuccessful bidders
 - Release tender bonds (generally only after the successful bidder submits the performance bond)
 - Administrate the Contract.

Assignment

Complete your SOE for Procurement & Tendering covering Level 1 & 2

Recap

1. Tendering in Construction
2. The need of a robust tendering strategy
3. Tendering strategies
4. Key principles of tendering
5. Prequalification of bidders
6. Invitation to tenderers
7. Tender documents
8. Site visits
9. Tender notices, queries and addendums
10. Submission and opening of tenders
11. Tender evaluation (technical + commercial)
12. Recommendation
13. In country value (ICV)
14. Contract award

26

End of Part 2 (Tendering)



Thank YOU

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27